

August 24, 2026 04:01 AM GMT

Cisco Systems Inc | North America

# 6th Nasdaq Virtual Asia Investor Conference Recap: Early in a More Durable Growth Cycle

Following multiple investor sessions with CSCO, our key takeaway is that the business is entering a more durable growth phase, with campus refresh still early, scale-across largely ahead and security adding upside. Supply remains tight, but procurement advantages should support execution.

We hosted Cisco Investor Relations Managers Eric Yu and Ryan Cui, alongside Ben Dawson, SVP of Sales for Asia Pacific, Japan and Greater China, for a series of investor meetings on Tuesday, August 18, and Wednesday, August 19.

### Key Takeaways:

- Supply remains tight, but CSCO increasingly views procurement as a competitive advantage.** Memory, pump lasers and leading-edge silicon remain constrained across the industry, though management believes CSCO is navigating the environment better through its balance sheet, larger purchase commitments and direct relationship with TSMC (covered by Charlie Chan). Volumes with TSMC are expected to increase ~10x in FY27 across 3nm, 5nm and 7nm, with 3nm remaining the tightest node. Near-term 3nm exposure is limited to CSCO's G300 chip, which has yet to enter production, though management indicated line of sight into a near-term design win. IR also noted that CSCO provides TSMC with additional customer diversification, creating a strong incentive for both sides to deepen the relationship.
- Scale-across remains a sizable future growth vector, with broader deployment still largely ahead.** Power constraints are increasingly forcing AI compute to span multiple data centers, creating a need to connect and synchronize GPU clusters across sites within roughly 100km. CSCO now has three P200 design wins, but broader deployment has yet to meaningfully materialize, leaving another leg of growth for the out years. CSCO is also positioned as an end-to-end supplier across the scale-across architecture, with exposure spanning P200 routing, multi-rail transport systems and Acacia coherent optics rather than relying on a single product category. Management expects activity to build as next-generation line systems begin shipping in 1H27, extending the durability of AI-driven growth beyond the current scale-out cycle.
- Campus refresh still has a long runway and should prove more durable than a typical networking cycle.** Per IR, ~7% of the Catalyst 4K and 6K installed base has refreshed so far, leaving the cycle in very early innings. Cat 4K reaches end-of-life by year-end 2026, while Cat 6K follows by end-CY27

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### Cisco Systems Inc (CSCO.O, CSCO US)

Telecom & Networking Equipment | United States of America

|                                 |                |
|---------------------------------|----------------|
| Stock Rating                    | Overweight     |
| Industry View                   | In-Line        |
| Price target                    | \$135.00       |
| Shr price, close (Aug 21, 2026) | \$111.04       |
| Mkt cap, curr (mm)              | \$441,128      |
| 52-Week Range                   | \$130.37-66.13 |

| Fiscal Year Ending | 07/25 | 07/26e | 07/27e | 07/28e |
|--------------------|-------|--------|--------|--------|
| EPS (\$) **        | 3.80  | 4.33   | 5.09   | 5.57   |
| Prior EPS (\$) **  | -     | -      | -      | -      |
| EPS (\$) §         | 3.79  | 4.28   | 5.15   | 5.62   |
| ModelWare EPS (\$) | 2.90  | 3.38   | 4.19   | 4.67   |
| P/E                | 23.4  | 34.3   | 26.5   | 23.8   |
| Div yld (%)        | 2.4   | 1.4    | 1.5    | 1.5    |

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

\*\* = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

### QUARTERLY EPS (\$)

| Quarter | 2025 | 2026e Prior | 2026e Current | 2027e Prior | 2027e Current |
|---------|------|-------------|---------------|-------------|---------------|
| Q1      | 0.91 | -           | 1.00a         | -           | 1.34          |
| Q2      | 0.94 | -           | 1.04a         | -           | 1.21          |
| Q3      | 0.96 | -           | 1.06a         | -           | 1.24          |
| Q4      | 0.99 | -           | 1.22a         | -           | 1.30          |

e = Morgan Stanley Research estimates, a = Actual Company reported data

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and represents an even larger installed base. Wireless access points also need to refresh, while customers on the first generation of Cat 9K may increasingly upgrade to newer platforms. IR also pointed to software activation data for Meraki hardware that has already shipped, where non-activation rates are at a five-year low, suggesting customers are installing and activating equipment quickly rather than allowing it to sit in channel or customer inventory.

- **Gross margin pressure remains largely mix-driven, some tailwinds as get further into FY.** Faster hardware shipments and a rising hyperscaler mix should weigh on consolidated margins as product revenue is recognized upfront and hyperscalers purchase less software and services. Management continues to view roughly 64% as a reasonable baseline and noted that product gross margins remain in the mid-60s. Current guidance does not assume speculative pricing upside, while a stronger contribution from scale-across, Acacia optics or higher security attach could create upside as the mix evolves. Management also emphasized that it does not intend to pursue growth through structurally lower-margin business. Mixing in Silicon One into campus switching portfolio should add a margin tailwind in future periods, even if hardware mix remains high.
- **Security remains an underappreciated source of upside as networking modernization broadens.** Refreshed firewalls and Hypershield are seeing healthy demand, while CSCO is simplifying the portfolio by retiring legacy offerings and concentrating investment behind newer platforms. Management cautioned against extrapolating F4Q growth given year-end seasonality and unusually high security and Splunk content in large enterprise deals. Splunk cross-sell remains early, with F1Q27 the last difficult comparison. Longer term, ~8,000 Cisco IQ customers represent telemetry across ~12mm devices, none of which are quantum-ready today, leaving another potential refresh opportunity. Core security was approaching double-digit growth exiting FY26, with HSD growth expected in FY27, while agentic AI remains upside to current guidance.

## Risk Reward – Cisco Systems Inc (CSCO.O)

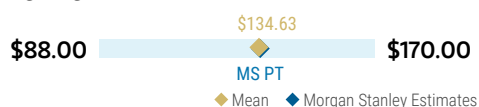
Stock Can See Further Multiple Expansion from Cloud / Ent AI Investment Cycle

### PRICE TARGET \$135.00

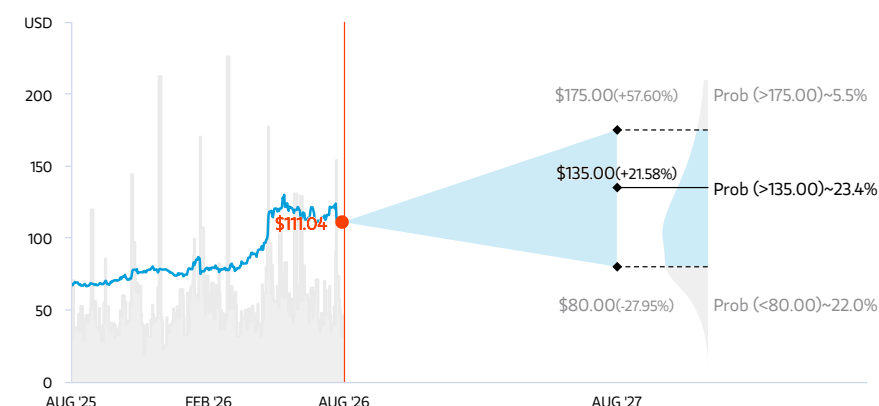
26x CY27e EPS, upper end of historical trading range

#### Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



### RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



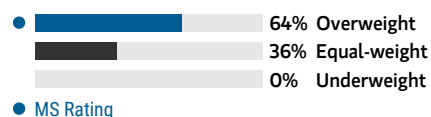
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 21 Aug 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

### OVERWEIGHT THESIS

- Networking has positive market growth dynamics, like the Cat 9K refresh, which helps offset headwinds from share losses.
- Splunk acquisition offers meaningful opportunities for bull case eventually, but minimal expectations for the near term.
- Cloud AI business could help multiple if contribute meaningfully to growth.

#### Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

#### Risk Reward Themes

New Data Era: *Positive*

View descriptions of Risk Rewards Themes [here](#)

#### BULL CASE \$175.00

32x CY27 bull case EPS (\$5.50)

Becomes a more material participant in AI; enterprise investment cycle allows for acceleration to continue. 10%+ of company growth from AI, able to benefit in outsized way from capacity, able to participate in multi-year investment cycle on the enterprise business, no material pullforward. Trades more in-line with AI names vs. traditional range.

#### BASE CASE \$135.00

26x CY27e EPS (\$5.25)

AI cycle help company sustain HSD growth for multiple years. AI business continues to gain share, enterprise business sees some benefit from AI investment, but pullforward in 1H limits upside to FY27. Trades at a premium to long term range given AI gains.

#### BEAR CASE \$80.00

20x CY27 bear case EPS (\$4)

Trades more in line with historical averages as pullforward offsets AI share gains. Enterprise faces headwinds in FY27 from macro headwinds, offsetting gains on the AI side, growth slows to MSD. Valuation falls to historical averages given margin headwinds.

## Risk Reward – Cisco Systems Inc (CSCO.O)

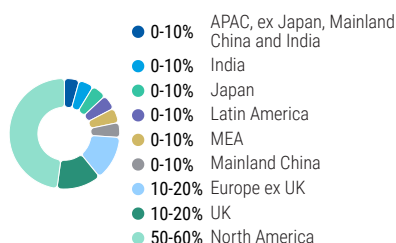
### KEY EARNINGS INPUTS

| Drivers                | Jul 2025 | Jul 2026e | Jul 2027e | Jul 2028e |
|------------------------|----------|-----------|-----------|-----------|
| Revenue Growth Y/Y (%) | 5.3      | 11.8      | 14.9      | 4.9       |
| Operating Margin (%)   | 34.4     | 34.8      | 35.0      | 36.5      |
| EPS Growth Y/Y (%)     | 1.9      | 13.9      | 17.5      | 9.4       |
| FCF Growth Y/Y (%)     | 30.1     | (3.9)     | 8.1       | 51.3      |

### INVESTMENT DRIVERS

- Can CSCO successfully transition to a software and services oriented business?
- Does the move to the cloud adversely impact CSCO's traditional enterprise market?
- Can it achieve incremental margin improvement as business turns more software & services?

### GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate  
View explanation of regional hierarchies [here](#)

### MS ALPHA MODELS

|                     |                             |                     |                            |
|---------------------|-----------------------------|---------------------|----------------------------|
| <b>4/5<br/>BEST</b> | <b>24 Month<br/>Horizon</b> | <b>3/5<br/>MOST</b> | <b>3 Month<br/>Horizon</b> |
|---------------------|-----------------------------|---------------------|----------------------------|

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

### RISKS TO PT/RATING

#### RISKS TO UPSIDE

- Security portfolio reaccelerates.
- Recurring portion of business causes more meaningful mix shift.
- Cat 9K refresh contributes meaningfully to growth.
- Hyperscale wins.
- AI capex continues to be revised up.

#### RISKS TO DOWNSIDE

- Prolonged macro slowdown.
- Share losses accelerate.
- Difficulty seeing continued operating leverage.
- Splunk integration challenges.
- Meaningful pullforward into FY26.

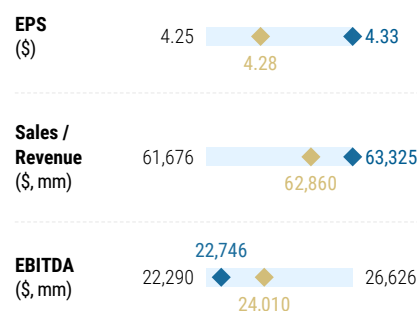
### OWNERSHIP POSITIONING

|                            |       |                                                                    |
|----------------------------|-------|--------------------------------------------------------------------|
| Inst. Owners, % Active     | 46.9% | <div><div></div><div></div><div></div><div></div><div></div></div> |
| HF Sector Long/Short Ratio | 2.1x  | <div><div></div><div></div><div></div><div></div><div></div></div> |
| HF Sector Net Exposure     | 33.6% | <div><div></div><div></div><div></div><div></div><div></div></div> |

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

### MS ESTIMATES VS. CONSENSUS

FY Jul 2026e



Source: Refinitiv, Morgan Stanley Research

## Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options\\_Probabilities\\_Exhibit\\_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR\\_Themes\\_Exhibit\\_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG\\_Exhibit\\_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG\\_Sustainable\\_Solutions\\_External\\_Link.pdf](#)
5. View explanation of HERS methodology - [ESG\\_HERS\\_External\\_Link.pdf](#)

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(as of July 31, 2026)

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| Stock Rating Category | Coverage Universe |            | Investment Banking Clients (IBC) |                |                      | Other Material Investment Services Clients (MISC) |                       |
|-----------------------|-------------------|------------|----------------------------------|----------------|----------------------|---------------------------------------------------|-----------------------|
|                       | Count             | % of Total | Count                            | % of Total IBC | % of Rating Category | Count                                             | % of Total Other MISC |
| Overweight/Buy        | 1529              | 42%        | 442                              | 47%            | 29%                  | 750                                               | 43%                   |
| Equal-weight/Hold     | 1582              | 43%        | 396                              | 42%            | 25%                  | 773                                               | 44%                   |
| Not-Rated/Hold        | 3                 | 0%         | 1                                | 0%             | 33%                  | 1                                                 | 0%                    |
| Underweight/Sell      | 560               | 15%        | 97                               | 10%            | 17%                  | 217                                               | 12%                   |
| Total                 | 3,674             |            | 936                              |                |                      | 1741                                              |                       |

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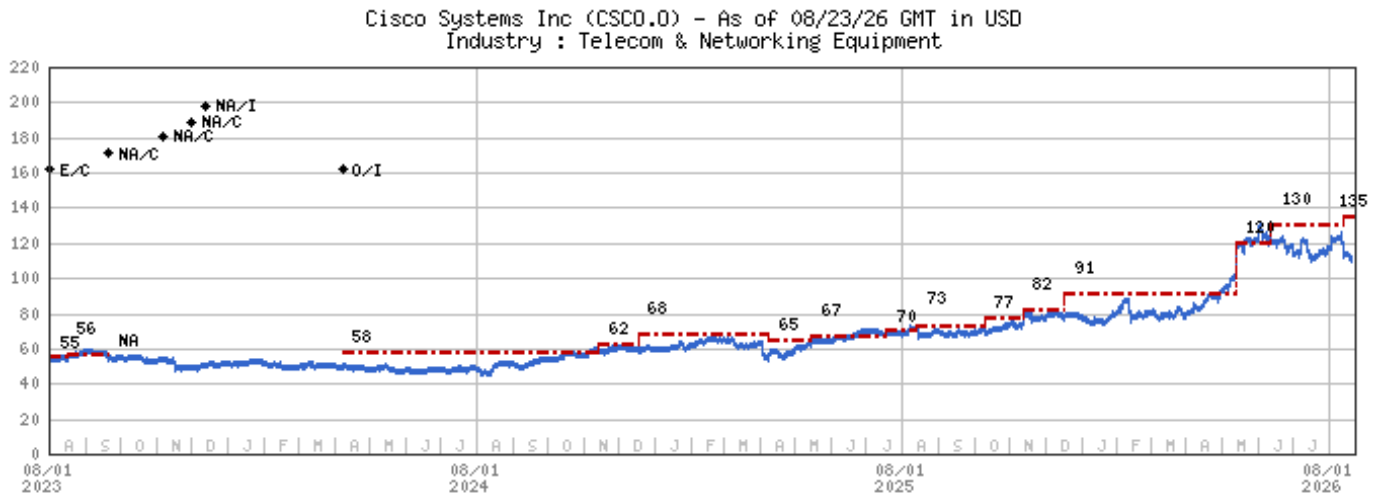
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## INDUSTRY COVERAGE: Telecom & Networking Equipment

| COMPANY (TICKER)                        | RATING (AS OF) | PRICE* (08/21/2026) |
|-----------------------------------------|----------------|---------------------|
| <b>Meta A Marshall</b>                  |                |                     |
| Arista Networks (ANET.N)                | O (10/31/2023) | \$188.65            |
| Axon Enterprise Inc (AXON.O)            | O (12/03/2024) | \$627.75            |
| Ciena Corporation (CIEN.N)              | E (10/10/2025) | \$395.79            |
| Cisco Systems Inc (CSCO.O)              | O (04/08/2024) | \$111.04            |
| Coherent Corp (COHR.N)                  | E (12/13/2023) | \$289.52            |
| Corning Inc (GLW.N)                     | E (06/13/2024) | \$149.84            |
| F5 Inc (FFIV.O)                         | E (04/12/2022) | \$384.63            |
| Keysight Technologies Inc (KEYS.N)      | O (07/13/2026) | \$316.13            |
| Lumentum Holdings Inc (LITE.O)          | E (05/12/2021) | \$866.71            |
| Motorola Solutions Inc (MSI.N)          | O (12/17/2025) | \$480.47            |
| Zebra Technologies Corporation (ZBRA.O) | E (12/02/2024) | \$368.51            |

Stock Ratings are subject to change. Please see latest research for each company.

\* Historical prices are not split adjusted.